

BOX 12.9 FACTORS AFFECTING COUNTRY RISK

Macroeconomic factors

- Size and structure of the country's external debt in relation to its economy.
- Level of international reserves.
- Potential for extreme adverse exchange rate movements and the effect on the relative price of the country's imports and exports.
- GDP growth and inflation levels, current and forecast.
- Role of foreign sources of capital in meeting the country's financing needs.
- Country's access to international financial markets and the potential effects of a loss of market liquidity.
- Country's relationships with private sector creditors.
- The country's current standing with multilateral and official creditors such as the IMF.
- Trends in foreign investments and the country's ability to obtain foreign investment in the future.
- Privatisation of government-owned entities.
- The extent to which the economy of the country may be adversely affected through the contagion of problems in other countries.
- The size and condition of the country's banking and financial system.
- The extent to which state-directed lending or other government intervention may have adversely affected the soundness of the country's financial system and economy.

Socio-political factors

- The country's natural and human resource potential.
- The willingness and ability of the government to recognise economic or budgetary problems and implement appropriate remedial action.
- Extent to which political or regional factionalism or armed conflicts are adversely affecting government of the country.
- Any trends toward government-imposed price, interest rate, or exchange controls.
- Extent to which the legal system of the country can be relied upon to fairly protect the interests of foreign creditors and investors.
- Accounting standards and the reliability and transparency of financial information.
- The level of adherence to international legal and business practice standards.
- Level of corruption.
- Level of corporate social responsibility.
- Sustainability performance.

Institution-specific factors

- The bank's business strategy and its plans for investment in the country.



BOX 12.9 Factors affecting country risk (continued)

- Types of investments, FDI or portfolio investments, joint ventures, licensing agreements and so on.
- Economic outlook for any specifically targeted business opened within the country.
- Extent to which political or economic developments are likely to affect the bank's chosen lines of business.
- The degree to which political or economic developments are likely to affect the credit risk of individual counterparties in the country. For instance, foreign firms with strong export markets in developed countries may have significantly less exposure to the local country's economic disruptions than do other firms operating in the country.
- The institution's ability to effectively manage its country risk through in-country or regional representation, or by some other arrangement that ensures the timely reporting of, and response to, any problems.

of available information. Economic risk assessment scores are based upon objective analysis of quantitative data, and financial risk assessment scores are based upon analysis of a mix of quantitative and qualitative information.

Of the non-commercial country risk ratings, those provided on a regular basis by the OECD are widely used and often these will be cross-checked against a firm's own internal risk assessment and those of a private third-party provider. How the OECD calculates its country risk ratings is outlined in Box 12.10 and Table 12.5 reports its country risk ratings at October 2020.

BOX 12.10 OECD COUNTRY RISK-WEIGHTING CALCULATIONS

The OECD produces a regular country credit risk assessment that classifies countries into eight risk categories (1 to 7), with 7 being the most risky.

The Country Risk Classification Method measures the country credit risk, i.e. the likelihood that a country will service its external debt.

The classification of countries is achieved through the application of a methodology comprised of two basic components: (1) the Country Risk Assessment Model (CRAM), which produces a quantitative assessment of country credit risk, based on three groups of risk indicators (the payment experience of the participants, the financial situation and the economic situation) and (2) the qualitative assessment of the model results, considered country-by-country to integrate political risk and/or other risk factors not taken (fully) into account by the model. The details of the CRAM are confidential and not published.

The final classification, based only on valid country risk elements, is a consensus decision of the sub-group of country risk experts that involves the country risk experts of the participating export credit agencies. The sub-group of country risk experts meets several times a year. These meetings are organised in such a way as to guarantee that every country is reviewed whenever a fundamental change is observed and at least once a year. While the meetings are confidential and no official reports of the deliberations are made, the list of country risk classifications is published after each meeting.

Source: www.oecd.org.

Table 12.5 Example of OECD country risk classification of the participants to the arrangement on officially supported export credits (as of 16 October 2020)

Country code	Country name	Previous	Current prevailing
ALB	Albania	5	5
DZA	Algeria	5	5
AGO	Angola	6	6
ARG	Argentina	7	7
ARM	Armenia	6	6
AZE	Azerbaijan	5	5
BHR	Bahrain	5	5
BGD	Bangladesh	5	5
BLR	Belarus	6	6
BOL	Bolivia	5	5
BIH	Bosnia and Herzegovina	7	7
BWA	Botswana	3	3
BRA	Brazil	5	5
BGR	Bulgaria	3	3

Source: Adapted from www.oecd.org/tad/xcred/cre-crc-current-english.pdf

One emerging aspect in this context relates to a country's **sustainability performance**. The increasing concern about the environment and the need to take long-term views also in finance are becoming key elements in assessing country risk. Some private firms offer country sustainability rankings, based on a variety of ESG factors. For example, Robeco, an asset management company, publishes a list based on factors that are long term in nature, such as aging, corruption, institutions and environmental risk. The list, accessed in October 2020, shows that the top four countries are in Scandinavia, with Sweden first, followed by Finland, Norway and Denmark (www.robeco.com).

While banks have a wide range of resources at their disposal to evaluate country risk they also have to ensure that this risk is monitored on an ongoing basis as country circumstances can change rapidly. International banks therefore should have a system in place to monitor current conditions in each of the countries where they have significant operations and also reconcile their risk assessments with those provided by other parties (such as the rating scores provided by the firms listed in the previous section). The quantity of resources devoted to monitoring conditions within a country should, of course, be proportionate to the firm's level of overseas activity and the perceived level of risk. Information provided by senior managers in the foreign country is a valuable resource for monitoring country conditions, as are regular reports by regional or country managers. There also needs to be regular contact between parent senior management and those responsible for the operations in the foreign market. All banks conducting international business should not rely solely on informal and ad hoc lines of communication, and established procedures should be in place for dealing with operations that are faced with troubled overseas environments. Also, various contingency plans should be put in place for dealing with problems associated with increases in country risk; if necessary this should include various exit strategies.

It should also be stressed that international banks must have adequate internal controls in place so that there is a reporting mechanism ensuring the integrity of the information used by senior management to monitor country risk positions and to comply with any pre-determined country risk exposure limits.

12.10 Conclusion

This chapter reviewed various aspects of bank risk management. The basic principles of bank management, including asset and liability management, were reviewed in Chapter 10, whereas Chapter 11 analysed the main banking risks. This chapter introduced the general concepts of bank risk management included an extensive discussion of the growing importance of banks' corporate governance frameworks in setting the standards of good practice and the risk culture within banking organisations. The chapter then considered the management of specific banking risks, focusing particularly on the banking risk included in the calculation of regulatory capital in the most recent Basel documents (credit risk, market risk and operational risk) and the management of the 'traditional' ALM function (interest rate risk and liquidity risk). Finally, given the growing importance of international banking activities, we outlined the main features relating to the management of country risk. Risk management is a complex and comprehensive process, which includes creating an appropriate environment, maintaining an efficient risk measurement structure, monitoring and mitigating risk-taking activities and establishing an adequate culture framework of internal controls. Banks will increasingly need to adopt more formal and quantitative risk measurement and risk management procedures and processes. Last, but certainly not least, recent developments suggest that they will also need to incorporate non-traditional risks, such as those derived from climate change, in their future strategies and risk management frameworks to ensure stability.

Key terms

Backtesting	Credit scoring	Mortgage equity withdrawal	Sustainability performance
Basel framework	Digital footprint	Negative equity	Tail risk
Corporate governance	Duration analysis	Risk culture	Value-at-risk (VaR)
Credit checking	Expected shortfall (ES)	Risk management	
Credit rationing	Gap analysis	Risk measurement	
Credit reference agencies	Loan rate	Risk-adjusted return on capital (RAROC)	
	Migration risk		

Key reading

European Banking Authority (2019) 'EBA action plan on sustainable finance', December.

Hagendorff, J. (2019) 'Corporate governance and culture in banking', in Berger, A.N., Molyneux, P. and Wilson, J.O.S. (eds), *Oxford Handbook of Banking*, 3rd edition, Oxford, Oxford University Press.

Stiroh, K. (2020) 'Climate change and risk management in bank supervision', Speech, Bank for International Settlement, www.bis.org/review/r200309b.htm

REVISION QUESTIONS AND PROBLEMS

- 12.1** What do you understand by 'risk culture'?
- 12.2** Why is corporate governance in banks more complicated than for other types of firms?
- 12.3** What is the bonus cap and why is it controversial?
- 12.4** What is described as 'sound practice' in the management of credit risk?
- 12.5** Explain the process of credit scoring and describe its main applications.
- 12.6** What are the main limitations of the GAP approach?
- 12.7** Why should prudent banks seek to minimise their volatility ratio?
- 12.8** What are the main techniques used to manage a bank's liquidity exposure?
- 12.9** What is VaR? What are the limitations of VaR and why is ES a better measure?
- 12.10** What are the difficulties inherent in the measurement and management of operational risk?
- 12.11** What are the main factors affecting country risk?
- 12.12** Should banks integrate environmental and social risks in their business models and risk management? Discuss.

PART 4

Comparative banking markets

13	Banking in the UK	403
14	Banking in Europe	445
15	Banking in the US	496
16	Banking in Japan	533
17	Banking in emerging markets	563

